

positions as they rose in price. Some averaged down (sometimes a lucky strategy, other times a disastrous one). The strategies that paid off handsomely when they were used during a bull market up 5X over four years were less successful during the ensuing decade of lower returns.

- **Capital is crucial:** Successful, experienced traders were rewarded with more capital and greater risk tolerances by their firms and clients. They could hold positions longer (enormously beneficial in a bull). In the days before full computerization, they could exceed their capital limits intraday. Those who were proven moneymakers got more ammunition to trade with, and much longer leashes. This worked wonderfully during the 1990s phase, but led to mixed results once the peak was behind us. Managing these kinds of risks is what sets apart the best trading shops (Citadel, Renaissance, Millennium, Jane Street) from everyone else that had trading disasters befall them.
- **Leverage is deadly:** Some folks try to make up for a lack of capital by using leverage or options to magnify the results of their trading. That merely creates an enhanced two-sided bet—more upside, more downside. It is a risk that I suspect newbie traders on apps like Robinhood and Reddit did not fully understand; they (eventually) figured it out, often painfully.
- **Muscle memory persists:** Investors who were rewarded for buying every 1990s dip take a long time to unlearn what has worked for the decade prior. The 1997 Asian financial crisis and the Long-Term Capital Management collapse in 1998 each led to robust recoveries and further gains. Those experiences make dip buying a difficult habit to break once the market cycle has ended. One of the things that made the March 2000–October 2002 period so pernicious was that the recoveries that followed every single drop subsequently failed. Starting in December 1999, there were drops of 16%, 11%,